PASSPORT

TO BUYING PROPERTY IN MEXICO

SECURETITLE
LATIN AMERICA
SINCE 1997

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secure title latin america

— SINCE 1997 —

Secure Title Latin America, established in 1997, with offices in the Riviera Maya, Los Cabos, Puerto Vallarta, Puerto Peñasco, north Baja and Mexico City; provides services designed to help you navigate the real estate process in Mexico, protecting you from unnecessary risks and sometimes overwhelming procedures.

Our range of services are crafted to address the specific complexities and legal requirements to formalize your real estate transaction.

When investing in real estate, you can trust Secure Title's broad experience, professional service and financial standing to successfully close your transaction.

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FREQUENTLY ASKED QUESTIONS

1

HOW DO I ACQUIRE PROPERTY IN MEXICO?

Foreigners may obtain direct ownership of property within Mexican territory. However, foreigners cannot hold title to property within 100 Km from the border and within 50 Km from the coastline. This area is known as the restricted zone.

However, there is a system in Mexico that allows non-Mexicans to purchase property, providing great protection for the property owner, and is very similar to fee simple ownership.

In order to purchase real estate in the restricted zone, foreigners must acquire the property through a bank trust formalized with a Mexican Banking institution. As a buyer, you will be designated as the main beneficiary and can designate substitute beneficiaries in the event of death, that way avoiding probate procedures upon death.

The bank trust is established for 50 years, renewable for the same period of time. Prior to expiration, the trustee bank will let you know that it's time to extend the term for another 50 years.





2

CAN I ACQUIRE IN CO-OWNERSHIP?

Yes. In the trust, both co-owners will be designated as main beneficiaries. It's common that such co-owners designate themselves as substitute beneficiaries, and they can also designate other 3rd parties, such as their children, as substitutive beneficiaries in the event of death.

3

CAN I ACQUIRE THROUGH AN LLC?

Yes, the trustee bank would designate the LLC as the main beneficiary of the trust. However, since the LLC is a foreign entity, there are additional requirements for such an LLC to conduct business in Mexico.

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4

IF THE BANK HOLDING MY TRUST CEASES DOING BUSINESS, IS THERE ANY RISK OF LOSING MY PROPERTY?

No. With the assistance of the Mexican Banking Commission, the trustee bank would be replaced by another.

5

WHAT ARE MY CLOSING COSTS?

Closing costs are typically paid by the buyer and vary on a case to case basis, depending on the purchase price, and are usually between 5% to 9% of the purchase price. Closing costs include notary fees, government taxes and duties, trustee bank fees, government permits, Secure Title fees, among others.

The seller is responsible for the Capital Gains Tax, any unpaid utilities, and property taxes. Such fees must be paid upon or prior to closing. Secure Title will make sure that all items are paid, in order for the buyer to receive a clean title.

6

WHAT IS THE ROLE OF THE NOTARY PUBLIC IN MEXICO?

The notary public is a government appointed official. Part of his responsibility is to calculate, retain and pay taxes on behalf of both the buyer and the seller at closing. The notary public will issue a deed by means of which the real estate transaction will be formalized, and this document is recorded in the Public Registry.





7

PROPERTY TAXES.

As a general rule, property taxes are very low in Mexico. Property taxes vary according to the jurisdiction in Mexico in which your property is located. Taxes are paid annually, with the assessed value being determined at the time of the sale and based on the purchase price.

8

DO I NEED AN ATTORNEY?

Yes, the real estate transaction is subject to the execution of multiple legal documents, therefore it is important to have a real estate attorney to guide and advise you during the process. Secure Title has a team of experienced real estate attorneys that would assist you during the transaction.

9

ONCE I'M AN OWNER, HOW DO I TRANSFER TITLE?

As the main beneficiary of the trust, you would instruct the trustee bank to: i) extinguish the trust and transfer the title if the buyer is a Mexican National, or ii) assign the rights of the trust agreement to a foreign buyer.

WHAT ARE THE NEXT STEPS:

1 **FIND YOUR PROPERTY AND SUBMIT AN OFFER,**

2 **IF THE OFFER IS ACCEPTED, SECURE TITLE WILL:**

- Conduct due diligence in order to verify that the property is in good legal standing,
- Draft the escrow and purchase agreement in both Spanish and English.
- Coordinate with the notary public and the trustee bank the draft of the deed that will contain the trust,
- Receive funds in escrow,
- Set a closing date to execute the deed,
- Release funds from escrow once the terms and conditions agreed by the parties are met,
- Deliver a certified copy of the deed.

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EXIT BY SEA
IMMIGRATION
ROSEAU
JUN
POSTES
04
POSTAGE

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WHAT ARE THE DOCUMENTS THAT I'M EXPECTED TO PROVIDE FOR THE TRANSACTION?

- Secure Title application form,
- Copy of Passport & Drivers License,
- Copy of a proof of address (not older than 3 months),
- KYC (Know Your Customer) document,
- Entry Visa at closing.

PLAYA DEL CARMEN PLAYA DEL CARMEN





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